

COLUMN | LAKSHMINARAYANA YELURI

The Road Ahead for the Music Tech Industry



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The fact that these two words—music and tech—can be even thought of together reflects how far we have come in our acceptance of this creative field's tech-enabled transformation.

Not only is the music tech industry a thing, it is one of the most exciting areas in the Media and Entertainment space because of its unique ability to allow music makers and teachers, performers and producers, enthusiasts and aficionados to benefit from music's exponentially better reach and quality.

Current state of the music tech industry

Consider, for example, streaming. As a trend in the music tech space, streaming was gaining momentum pre-pandemic. It picked up even greater pace with the lockdown situation. Global lockdowns along with restrictions on large gatherings and nearly any kind of in-person experience, meant that scores of music enthusiasts

who attended live shows turned to online mediums to indulge their passion for music.

In the US, for example, revenues from music streaming grew by 13.4 per cent—up from USD 7.3 billion in 2018 to USD 10.1 billion in 2020. The share of total revenues generated by streaming reached 83 per cent of the total US music industry revenues in 2020.

According to the Indian Music Industry—the country's top body representing the interests of the recorded music industry—audio streaming in the country also saw tremendous growth during the same period. According to the organisation's estimates, the volume of subscribers for audio streaming services (and the time subscribers spent listening to these services) grew by a whopping 40 per cent in 2020 across platforms.

In this context it is important to consider that Spotify, the world's largest music streaming service provider—has been making steady progress in India, particularly over the last year. The streaming service provider reported a record 27 per cent growth in its Monthly Active Users category for Q4 in 2020, thus taking the number of its total users for the year to a whopping 74 million.

Spotify's focus on localisation for example, meant launching a variety of subscription packs for different audiences, offering more than 15 types of plans to suit a range of budgets and using algorithms to hyper-personalise streaming.

Smart tech for the music edu industry

Technology looks set to empower greater democratisation and enrichment of music learning, teaching and creation by providing access to platforms and tools to those who previously didn't have access to them.

This is a promising shift as it heralds an expansion of choice for both teacher and student to look beyond their immediate neighbourhoods for classes that best suit their interests and time.

According to projections, online music education is expected to grow at a CAGR of 18.68 per cent in the next five years. To leverage this, music companies need to understand the market and its key stakeholders—both teachers/instructors and learners/students and their need for a convenient, intuitive and personalised learning space.

These companies must also be able to offer their services in a modular fashion, much like Spotify is doing for its subscribers. They must aim to have platforms from which to offer facilities like on-demand scheduling, the option of diverse lesson plans and the opportunity to re-experience classes anywhere, anytime.

Easy-to-navigate online platforms empowered by advanced technologies, such as AI and ML, will be an important first step in adopting smart technology. These will provide music ed companies with real-time, intuitive analysis of data. Any visitor who visits their platform will be able to find the information they want—whether the choice of instructors, fees, class schedules or field of music—in the shortest time with customised results.

Technology also offers a range of functionalities for both teachers and students, including the ability to easily choose, schedule and even reschedule classes when required according to each user's evolving needs and personalised requirements.

Future of music tech industry

The future of the music tech industry is set to be built on advanced tools and solutions that tie back to today's growing demand across generations for customisation and personalisation. Just as streaming services have mastered the intuitive creation of personalised playlists with the help of algorithms and AI, music education companies will learn to match every learner with the teacher who best suits their individual, cultural, social and even financial preferences and requirements. **d**